The Tape Is Not Confused

Equities and the metals read Friday's payroll report and priced two different economies. Tomorrow's inflation print settles part of the argument.

THE READING

The S&P closed Friday at a record 7,757.64, up 0.62%, and settled 87.6% of the way up its daily range. Buyers were there into the bell. In the same session gold's December contract added $100.10 to $4,399.70, silver rose 3.07% with spot trading above the September future, and copper fell 1.76% to $6.59. The thirty-year Treasury finished at 5.19%, three basis points lower, after a payroll report that lost 23,000 jobs and revised the prior two months down a combined 103,000. The VIX made a new low for the week at 14.90.

Equities priced relief that a September hike had been taken away. The metals and the long end priced the reason it was taken away.

WHAT WISDOM WOULD SAY

Philip Tetlock and Dan Gardner describe, in *Superforecasting*, what they call the dragonfly eye: thousands of lenses pointing in different directions, and sight that comes from holding the incompatible images together rather than collapsing them early into one.

That is what the tape is asking for. Two serious price-setting mechanisms read the same report and disagreed about which half of the Federal Reserve's mandate now binds. Equities are right that the hike premium came out of the front end; two-year yields fell six basis points to 4.19%. The metals are right that almost nothing came out of the long end, which is where an inflation problem shows itself. Both readings survive the evidence available.

Tetlock's other finding is the one that bites this morning. His best forecasters won not by holding better views but by updating in small increments as evidence arrived, and his earlier work found that the confident single-idea forecaster scored worse than the one who kept several in play. The instinct before a data release is to decide early and call it courage.

THE RISK IT JUSTIFIES

July inflation lands tomorrow at 20:30 GMT+8, consensus 3.4% headline and 2.5% core, with prediction markets putting roughly a fifteen percent chance on a hotter headline. The split is already expressed in the book: a gold sleeve, a compute sleeve, and a large cash balance. Adding to either leg today is not conviction. It is choosing before the evidence.

So, concretely: no gold add with December at $4,399.70, already through the 4,331 top of Friday's published range. No fresh equity beta with the VIX at 14.90, which implies a 0.94% daily move against Friday's realised 0.57% — cheap as an option, not as an entry. The long-bond overlay stays as it is with the thirty-year at 5.19%.

What would change the answer: a headline above 3.4%, or core above 2.5%, ratifies the metals, and a gold add is then earned rather than chased. Both undershooting ratifies equities, which argues for cash coming down rather than gold going up. A cool headline with a sticky core resolves nothing, and nothing should move.

If tomorrow's number settles nothing, which reading will you have quietly begun to believe anyway?